

| THE POINT |

DEEP PLEDGE

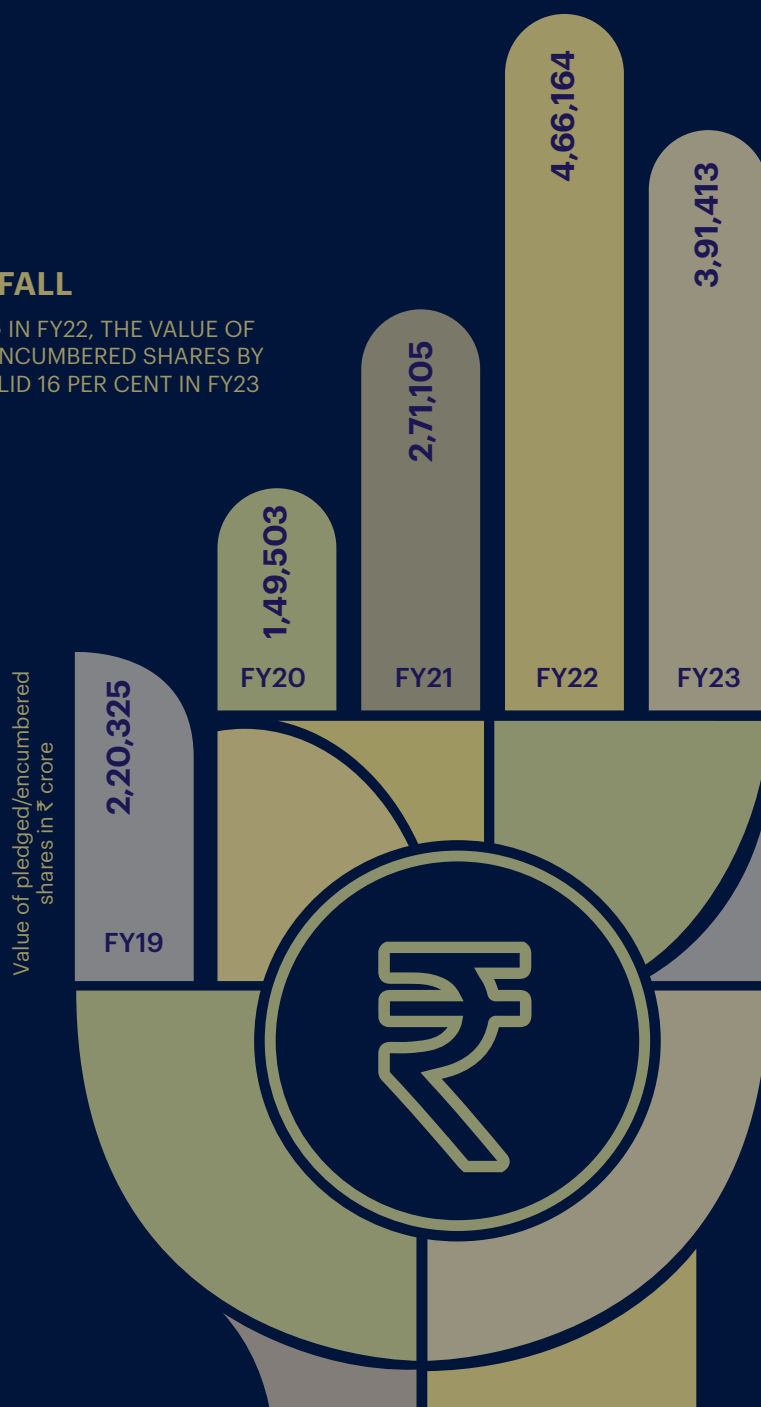
The total value of pledged or encumbered shares has more than doubled in the past three years amid the ongoing uncertainty in the domestic equity markets. In India, promoters are majority shareholders of entities that manage the day-to-day affairs of their companies. When promoters need money, they sometimes pledge or encumber some or all of their shareholding with lenders as collateral. This is one of the many sources of borrowing money, especially when liquidity conditions are tight and the markets are volatile. Have a look at how the world of pledging looks like in the current equity market:

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RISE AND FALL

AFTER SPIKING IN FY22, THE VALUE OF PLEDGED OR ENCUMBERED SHARES BY PROMOTERS SLID 16 PER CENT IN FY23



*At the end of the respective financial year on the NSE

Source: ACE Equity